

PART 28: THINKING LIKE A PRINCIPAL PM

28.0 What this chapter is for

This chapter is what Senior PMs read when they're tired of being Senior PMs. It's the gap between L5 and L7. It's why some PMs become Principal and most don't, even with similar years of experience.

You're early-career. Why read this now? Because the habits of Principal-level thinking compound from year one. PMs who absorb this thinking at year 2 are at L5 by year 5. PMs who learn it at year 8 are at L5 by year 12. The earlier the better.

Principal PM thinking is not about having more answers. It's about asking better questions, seeing further into the future, and building products that change behavior rather than dashboards.

28.1 How great PMs think differently

Across many great PMs (founders, Principal PMs, senior product leaders), some recurring patterns of thought:

Pattern 1: They obsess over the user's actual life

Great PMs don't just understand user research. They build mental models of users so detailed that they can predict behavior accurately. Steve Jobs reportedly never used market research because he could simulate user reaction in his head — though this is overstated, the underlying truth is that he had built deep user-mental-models from constant exposure.

The discipline: spend so much time with users that you can answer "what would a [target user] think about this?" without checking. Not because research is unnecessary — but because you've internalized enough to have fast intuition that's *correct*.

Pattern 2: They think in horizons, not features

A junior PM thinks: this feature, this quarter.

A Senior PM thinks: this feature, in the context of this strategy, over this year.

A Principal PM thinks: this product, over 5 years, in the context of where the market is going.

The horizon shift changes which decisions feel important. Many feature decisions become trivial when viewed at the 5-year horizon. Many strategic decisions become urgent when others would dismiss them.

Pattern 3: They distinguish symptoms from causes obsessively

Junior PMs respond to symptoms. "Conversion is low; let's run an A/B test on the button."

Senior PMs investigate causes. "Conversion is low because [specific reason]; let's address the cause."

Principal PMs investigate root causes. "Conversion is low because of [reason], which is itself caused by [deeper reason], which suggests we should [structural change]."

The depth of investigation reveals the depth of thinking.

Pattern 4: They optimize for compounding, not local wins

Junior PMs optimize this quarter's metrics.

Senior PMs balance this quarter and the next.

Principal PMs invest in things that compound — infrastructure, data assets, brand, ecosystem, platform — knowing they pay back over years.

A Principal PM might happily accept flat metrics for a quarter while building infrastructure that 2x's the next 5 years. A junior PM would never make this trade.

Pattern 5: They have strong, evidence-based opinions and update them quickly

Principal PMs commit publicly to specific positions: "I think we should do X, with Y confidence, because Z."

When evidence contradicts, they update without ego. "I was wrong about X. The evidence shows Y. Let's adjust."

This combination — strong opinions, lightly held — is rare. Most PMs are either too noncommittal (no opinions) or too rigid (won't update). Principal PMs are both committed and updatable.

Pattern 6: They think in second and third order

Already covered in Part 4. The discipline of asking "and then what?" repeatedly.

Pattern 7: They notice what's not happening

Junior PMs see what's there. Principal PMs notice what isn't.

- "Why isn't anyone in the market doing this?"
- "Why hasn't this customer renewed yet?"
- "Why is this team not asking about feature X?"

Absence is information. Most PMs miss it.

Pattern 8: They simplify ruthlessly

Junior PMs add complexity. More features, more options, more flexibility.

Principal PMs subtract. They identify what's essential and remove the rest.

Apple's product line during Jobs' return is the canonical example: from dozens of products to four. The discipline of subtraction is harder than addition. It produces clearer products.

28.2 Strategy theater — the deeper version

Part 4 introduced strategy theater. Here's what to do when you see it.

The recognition test

You're in a strategy meeting. The presenter shows their plan. How do you know if it's strategy or theater?

- Can you name what they're sacrificing?
- Can you state what would prove the strategy wrong in 6 months?
- Can you identify the resource allocation change?
- Can you see how the actions cohere?

If any answer is "no," it's theater.

What to do when you see theater

Option A: Push back substantively. "I like the direction, but I want to clarify: what are we explicitly NOT doing? What resources are moving? What would change our minds?"

This often produces awkward silence — because the strategy doesn't have answers. The senior leader either acknowledges and revises, or doubles down (which is a signal about them).

Option B: Stay quiet and execute. Sometimes you don't have standing to push back, especially as junior. Note privately that the strategy is theater, but execute the work assigned. Build your case for stronger strategy in your domain over time.

Option C: Build your own substrategy. For your area, write a real strategy (using Rumelt). Your work has clarity even if the umbrella strategy doesn't. This is the most common Senior PM move.

When you're producing theater yourself

Self-examination test. Read your own strategy doc. Ask:

- Would I commit to this in writing if it might be evaluated against in 6 months?
- Have I named specific things we won't do?

- Could a competitor look at this and not learn anything (bad — it's too vague)?
- Would my best friend in PM tell me this is real strategy or theater?

If the answers reveal theater, rewrite. The work of producing real strategy is uncomfortable; that discomfort is a signal you're doing it right.

28.3 Signal vs noise in feedback

Senior PMs get a lot of feedback. The skill is filtering.

The categories of feedback

1. Direct user feedback. What users tell you they want.

- Often noisy. Users don't know what they want; they know what they currently can't do.
- Useful for: identifying friction, surfacing emotional reactions.
- Risky for: deciding what to build.

2. Behavioral data. What users actually do.

- Less noisy than verbal feedback.
- Useful for: identifying patterns, validating hypotheses.
- Risky for: deciding direction (data tells you what is, not what should be).

3. Stakeholder feedback. What sales, marketing, support, leaders say.

- Each has bias. Sales optimizes for closing; support for ticket reduction; leaders for politics.
- Useful for: understanding business pressures, identifying real friction.
- Risky for: confusing internal needs with user needs.

4. Peer feedback. What other PMs and leaders think.

- Often substantive but inconsistent.
- Useful for: stress-testing thinking, identifying blind spots.
- Risky for: groupthink.

5. Market feedback. What competitors do, what's happening in your industry.

- Often slow signal.
- Useful for: identifying trends, understanding strategic environment.
- Risky for: copying without thinking.

How to filter

For each piece of feedback:

- Who is saying this? What's their bias?

- What's the underlying job/concern they're surfacing?
- Is this signal or noise?

The hardest discipline: ignoring noise from senior leaders. When a VP says "I don't like the color," that's often noise; the signal is "I have a concern but it's expressed as a color preference." Investigate the underlying concern, address it; ignore the literal feedback.

The "what would make me change my mind?" test

Before adjusting a decision based on feedback, ask: what would change my mind?

If the feedback you just received meets that criterion, update. If not, note the feedback but don't update.

This prevents the trap of constant pivoting in response to whoever spoke last.

Building your own signal radar

Senior PMs build their own ground truth:

- Talk to users directly, regularly.
- Watch product behavior in real time.
- Read support tickets weekly.
- Use the product daily.
- Track your predictions vs reality.

The radar isn't built by absorbing feedback. It's built by observing the world directly.

28.4 Building products that change behavior, not dashboards

The deepest principle of senior PM thinking.

The dashboard trap

Most products today optimize metrics. Engagement, retention, conversion, NPS. The metrics rise; teams celebrate; investors approve.

But what's actually changed in users' lives? Often: nothing. Sometimes: worse outcomes (more time on screens, more anxiety, more compulsive behavior).

The dashboard rises while the user's life doesn't improve.

What "changing behavior" means

Real product impact looks like:

- Users do something they couldn't before (cap-table tools that let founders model their company).

- Users save real time (Stripe's payment integration vs custom payments code).
- Users earn more (Substack writers replacing institutional jobs).
- Users improve their health (Whoop, Oura informing real lifestyle changes).
- Users learn (Khan Academy enabling self-taught math).
- Users connect more meaningfully (early-stage social networks before optimization).

These products move dashboards, but more importantly, they move lives.

How to design for behavior change

The discipline: define success in terms of user life-state, not engagement.

Bad framing: "Increase DAU." Good framing: "Help users complete more workouts, where 'workouts' means real fitness sessions that improve health."

Bad framing: "Reduce checkout time." Good framing: "Help small merchants accept payments without becoming payments experts."

The user-life framing constrains design. You can't dark-pattern someone into a "workout" they didn't really do. You can dark-pattern engagement.

The metrics audit

For your product, ask:

- If this metric moved 30% but the user's life was unchanged, would the business consider it a win?
- If yes, the metric is divorced from user value. You're optimizing the dashboard, not the user.

Most PMs find their metrics are partially divorced. The work is realigning.

Honest products vs growth products

There's a tension. Honest products often grow slower than growth-optimized products. Substack grew slower than TikTok. Khan Academy grew slower than Duolingo. Quality grows slower than addiction.

The Principal PM accepts this trade-off. They build for honest impact even when growth optimization would produce bigger short-term numbers. They understand that the long-term winners often optimize for user life, not growth metrics, because reputation compounds.

28.5 The long game

Career arc thinking, distilled.

The 30-year horizon

Principal PMs think in decades, not quarters. Their career decisions are evaluated by:

- What did I build that survived?
- Whose careers did I accelerate?
- What ideas did I plant in the industry?
- What relationships compounded?

Not:

- What was my title at year 5?
- What was my comp at year 7?

This is privilege talking — the longer horizon is easier when you have financial security. But the principle applies even to early-career: invest in things that compound over decades, not just things that move metrics this year.

The big bets you should make

- **Bet on people who will rise.** Junior people you mentor today become senior people in 10 years. Some will pull you up.
- **Bet on writing.** Public writing compounds. The piece you wrote in 2024 might still be referenced in 2030.
- **Bet on weird interests.** Adjacent skills (deep technical knowledge, design, writing, strategy) compound when most peers don't have them.
- **Bet on relationships.** Genuine relationships, not networking. They become the substrate of your career.

The compounding traps

Some choices look right short-term and wrong long-term:

- **Optimizing for the wrong company.** A great role at a stagnant company is worse than a mediocre role at a rising one over 10 years. Choose companies on trajectory.
- **Job hopping for comp.** Each move that improves comp but lowers narrative coherence is debt. After 4-5 jobs in 10 years, the pattern reads as instability.
- **Avoiding hard work.** Years of cushy jobs produce cushy resumes that don't unlock the next level.
- **Working only with people you like.** Comfort produces stagnation. The best growth comes from working with people who challenge you.

Regret minimization

Bezos's famous frame: imagine yourself at 80 looking back. What would you regret not having done?

For PMs, the recurring regrets:

- Not taking the risky role at the rising company.
- Not building publicly.
- Not having hard conversations early.
- Not investing in relationships when convenient.
- Staying too long in roles that didn't grow them.

Use the regret frame to resolve hard career decisions. The regret of the road not taken is usually larger than the cost of trying.

28.6 The Principal PM reading list

Beyond what's already in Part 19, books that develop senior thinking:

Strategy:

- *Good Strategy / Bad Strategy* by Rumelt (re-read every 2 years).
- *7 Powers* by Helmer.
- *The Innovator's Dilemma* by Christensen.
- *Playing to Win* by Lafley & Martin.

Decision-making and judgment:

- *Thinking, Fast and Slow* by Kahneman.
- *The Black Swan* by Taleb.
- *Antifragile* by Taleb.
- *Superforecasting* by Tetlock.

Building organizations:

- *High Output Management* by Andy Grove (re-read).
- *The Hard Thing About Hard Things* by Horowitz.
- *Trillion Dollar Coach* by Schmidt et al. (Bill Campbell's principles).

Mental models:

- *Poor Charlie's Almanack* (Munger).
- *Super Thinking* by Weinberg & McCann.
- *The Almanack of Naval Ravikant*.

Industry depth:

- Stratechery archives (Ben Thompson — read 5 years of essays).
- *Hit Refresh* by Satya Nadella.
- Founder bios (Bezos, Jobs via Isaacson, Sam Walton, John D. Rockefeller).

- *Skin in the Game* by Taleb.

Human nature:

- *Influence* by Cialdini.
- *Crucial Conversations* by Patterson et al.
- *Never Split the Difference* by Voss.

Most PMs over-read tactical PM books and under-read these. The longer arc of senior thinking is built more from these than from PM-specific texts.

28.7 The habits of senior thinking

Specific practices:

- 1. Write to think.** Don't just read. Write — strategy memos, frameworks, retros. Writing forces clarity. By writing 1000 essays over a career, you become a different thinker.
- 2. Predict, observe, calibrate.** Before any major decision, write your prediction. Compare to outcome. Note your hit rate. The discipline calibrates judgment.
- 3. Read history.** Not business history. Real history. The Romans, the British Empire, the Soviet collapse, the rise of containers. Strategic patterns recur. Reading history makes you see them sooner.
- 4. Talk to people far outside your domain.** Talk to a researcher in molecular biology. A musician. A military officer. A teacher. The patterns transfer; senior thinkers borrow from across domains.
- 5. Reduce complexity.** For any complex situation, write a one-paragraph summary. If you can't, you don't understand it yet.
- 6. Take long walks.** Senior thinkers think during walks. Not during meetings, not during slack messaging. Long walks without phones. The pattern is consistent across many great thinkers.
- 7. Sit with discomfort.** When something feels unresolved, don't rush to closure. Sit with it. Often the best thinking comes from days of unresolved tension that resolves into clarity.
- 8. Listen more than speak.** Senior thinkers ask questions. They make others think. They learn. Junior thinkers prove their competence by speaking.

28.8 The transition into senior thinking

How do you go from PM to Senior PM thinking? It's not a switch. It's accumulation.

The compounds you must build

- Reps. Many decisions made and observed.

- Reflections. Disciplined review of what worked and what didn't.
- Range. Exposure to many domains, many companies, many users.
- Calibration. Predictions tested against reality.
- Mental models. A library of patterns you can apply quickly.

The transitions that don't work

- Reading more without practicing more. You can't think your way to senior; you have to operate at senior.
- Practicing more without reflecting. Reps without learning produce experience without growth.
- Reflecting without exposure. Just thinking about your own narrow experience produces narrow insights.

The ideal compound

Reps + reflection + range + calibration + models, applied over years. There's no shortcut. There's also no mystery.

The PMs who become Principal in 8-10 years usually have all five compounding from year 1. The ones who never become Principal usually optimized for one (often reps without reflection, or reading without doing).

28.9 What Principal-level work actually looks like

Concrete examples (not as abstract as 28.1):

- Identifying that the company's growth strategy will plateau in 18 months due to a structural market shift, and producing the analysis that re-orientes the company.
- Spotting that a quiet feature shipped 18 months ago is the actual product moat, and reorganizing the roadmap around extending it.
- Recognizing that the org's 6 product teams are duplicating work and proposing consolidation that increases output.
- Identifying that a key customer is about to churn for reasons leadership doesn't see, and engineering the save.
- Anticipating regulatory shifts and getting the product compliance-ready before competitors notice.
- Mentoring 3 PMs who all become senior leaders in their own right.

Notice: none of these are about shipping a feature. Principal work is more often about *what to build* and *who to develop* than about *building*.

28.10 If you remember only one thing from Part 28

Senior thinking is built by accumulating reps + reflections + range over years. It is not a skill you take a course on. It's a practice you do every day. The PMs who think like Principals at year 10 started thinking that way at year 1 — even when they couldn't yet act on it. Start now.

End of Part 28.

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